Beard Oil (now the Beard Company) was selling at $8, while each share included $12 worth of a company called USPCI. In this transaction, Beard and all its oil rigs and equipment was yours to keep for a minus $4.

Sometimes the best way to invest in a company is to find the foreign owner of it. I realize this is easier said than done, but if you have any access to European companies, you can stumble onto some unbelievable situations. European companies in general are not well-analyzed, and in many cases they're not analyzed at all. I discovered this on a fact-finding trip to Sweden, where Volvo and several other giants of Swedish industry were covered by one person who didn't even have a computer.

When Esselte Business Systems came public in the U.S., I bought the stock and kept up with the fundamentals, which were positive. George Noble, who manages Fidelity's Overseas Fund, suggested that I visit the parent company in Sweden. It was there that I discovered you could buy the parent company for less than the value of its U.S. subsidiary, plus pick up numerous other attractive businesses—not to mention real estate—as part of the deal. While the U.S. stock went up only slightly, the price of the parent company's stock doubled in two years.

If you followed the Food Lion Supermarkets story, you might have discovered that Del Haize of Belgium owned 25 percent of the stock, and the Food Lion holdings alone were worth a lot more than the price of a share of Del Haize. Again, when you bought Del Haize, you were getting valuable European operations for nothing. I purchased the European stock for Magellan and it rose from $30 to $120, while Food Lion gained a relatively unexciting 50 percent.

Back in the U.S., right now you can buy stock in various telephone companies and get a freebie on the cellular business. In every market they have awarded two cellular franchises. You've probably heard about the one that's given to a lucky person who wins the cellular lottery. Actually, he or she has to buy the franchise. The second franchise is given to the local phone company at no cost. It's going to be a great hidden asset to investors who've paid attention. As I'm writing this, you can buy a share in Pacific Telesis of California for $29 and get at least $9 a share worth of cellular value already. Or you can buy a $35 share of Contel and get $15 worth of cellular.

These stocks are selling at p/e ratios of less than 10, with dividend yields of more than 6 percent, and if you subtract the value of the cellular, the p/e's are even more attractive. You won't get tenbaggers out of these large telephone utilities, but you'll get a good yield and the possibility of 30–50 percent appreciation if everything goes right.

Finally, tax breaks turn out to be a wonderful hidden asset in turnaround companies. Because of its tax-loss carryforward, when Penn Central came out of